INTRODUCTION TO MACROECONOMICS

AGGREGATE EXPENDITURE

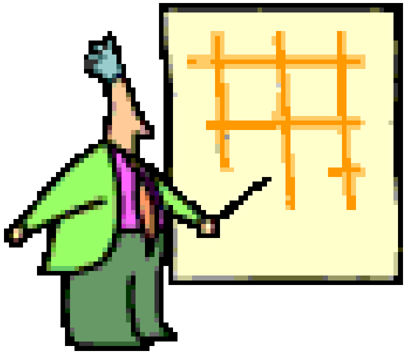
RECAP

National Income Accounting Methods

I. Definition

(1) National Income

Measures the monetary value of the flow of output of goods and services produced in an economy over a period of time.



Main function of National Income Accounting is to provide data of economic performance to monitor the performance of the overall economy

I. Definition of Terms

(1) National Income

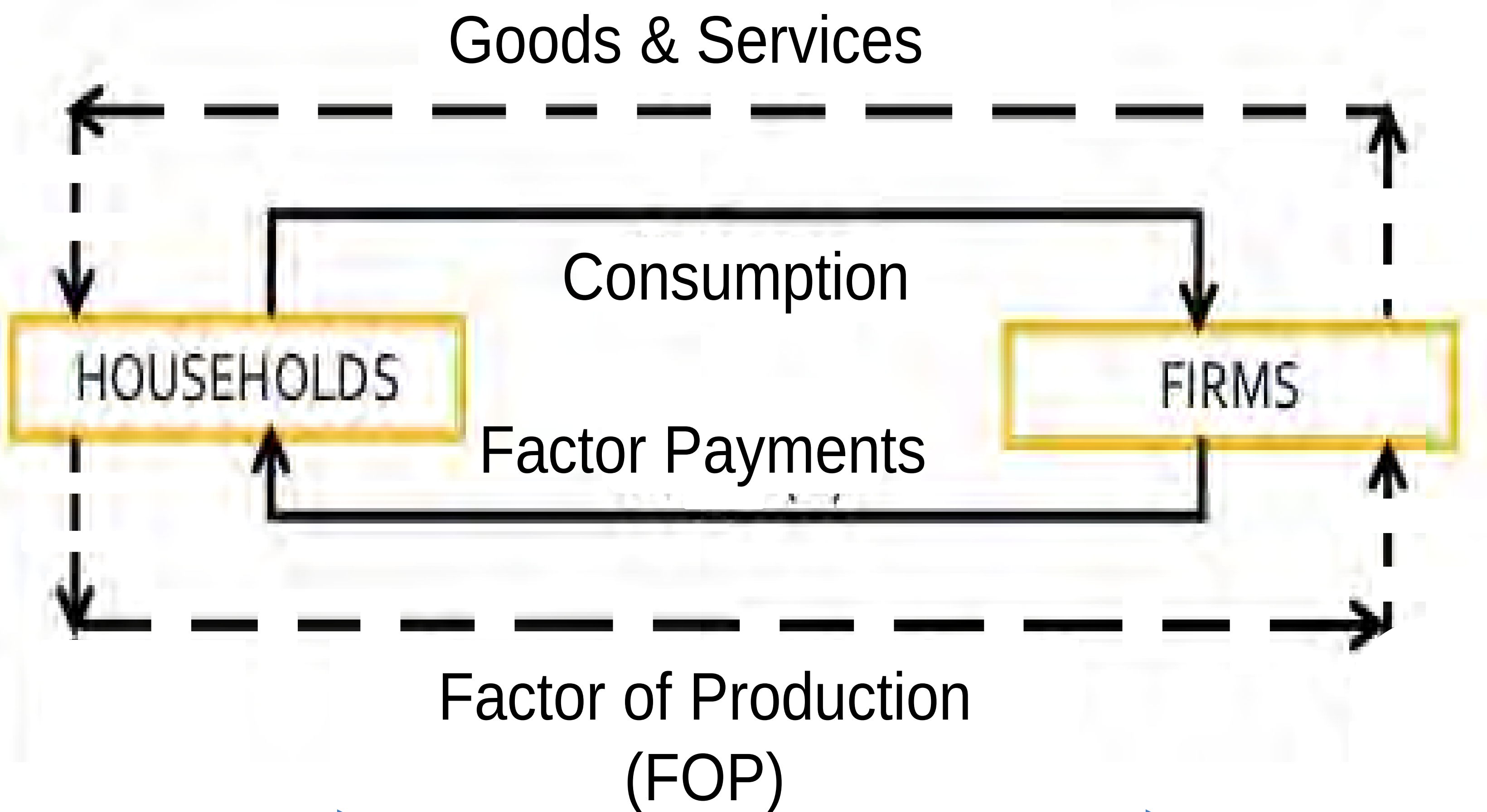
National Income of a country can be calculated in 3 ways

The Output Approach		The Income Approach		The Expenditure Approach
Value of all output produced	=	Sum of all incomes earned	=	Sum of expenditure incurred

2.1 The Circular Flow Model (2 Sector)

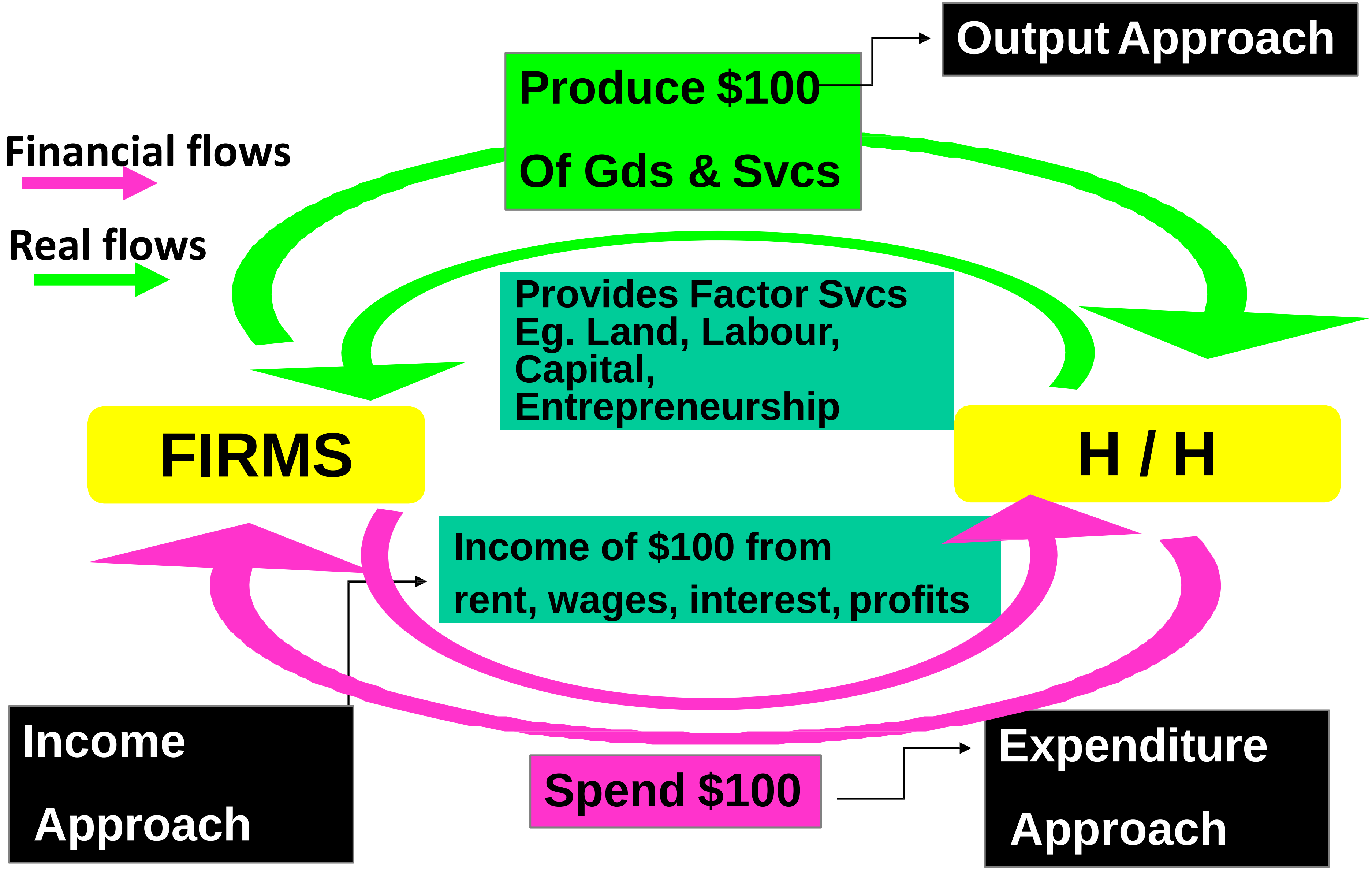
1) Only firms and households in a simple 2-sector economy, **NO** government and foreign sector.

2) Assumes
   a. all goods and services produced are consumed
   b. all income earned are spent



Real flows:
Examples include
- Goods and services
- Factor services

Financial flows:
Examples include
- Payments for goods and svs
- Payments for factor svs



Value of goods produced = Income received fr FOP = Expenditure on goods

I. Definition of Terms

(1) National Income

National Income of a country can be calculated in 3 ways

The Output Approach

Value of all output produced

=

The Income Approach

Sum of all incomes earned

=

The Expenditure Approach

Sum of expenditure incurred

I. Definition of Terms

(1) National Income

(i) The Production or Output Approach

Adding up all the money values of all FINAL goods & services produced in the country.

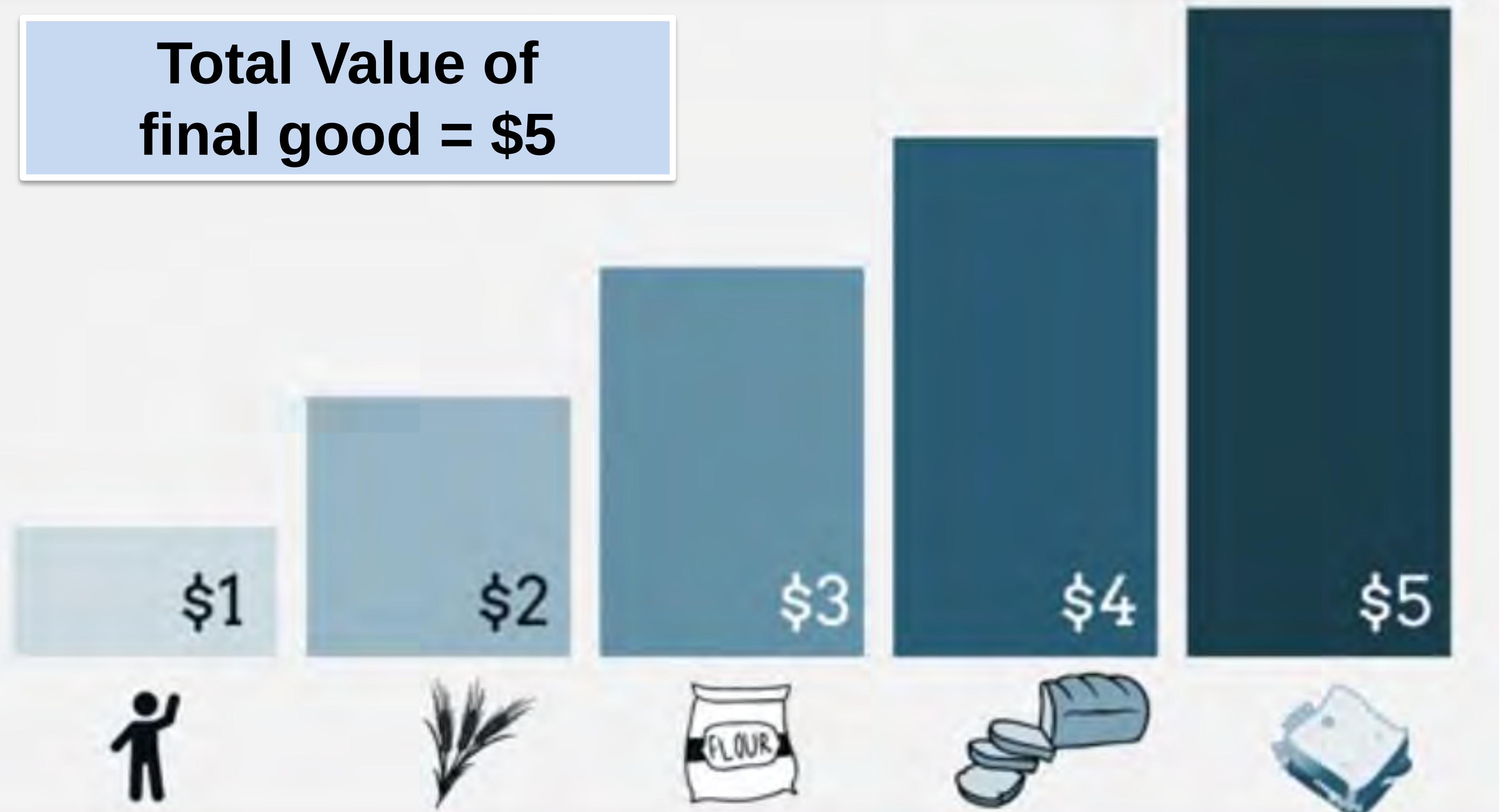
OR

SUMMING up the VALUE-ADDED by all industries in the economy over a period of time, usually a year

(1) National Income

(i) The Production or Output Approach

Total Value of final good = $5

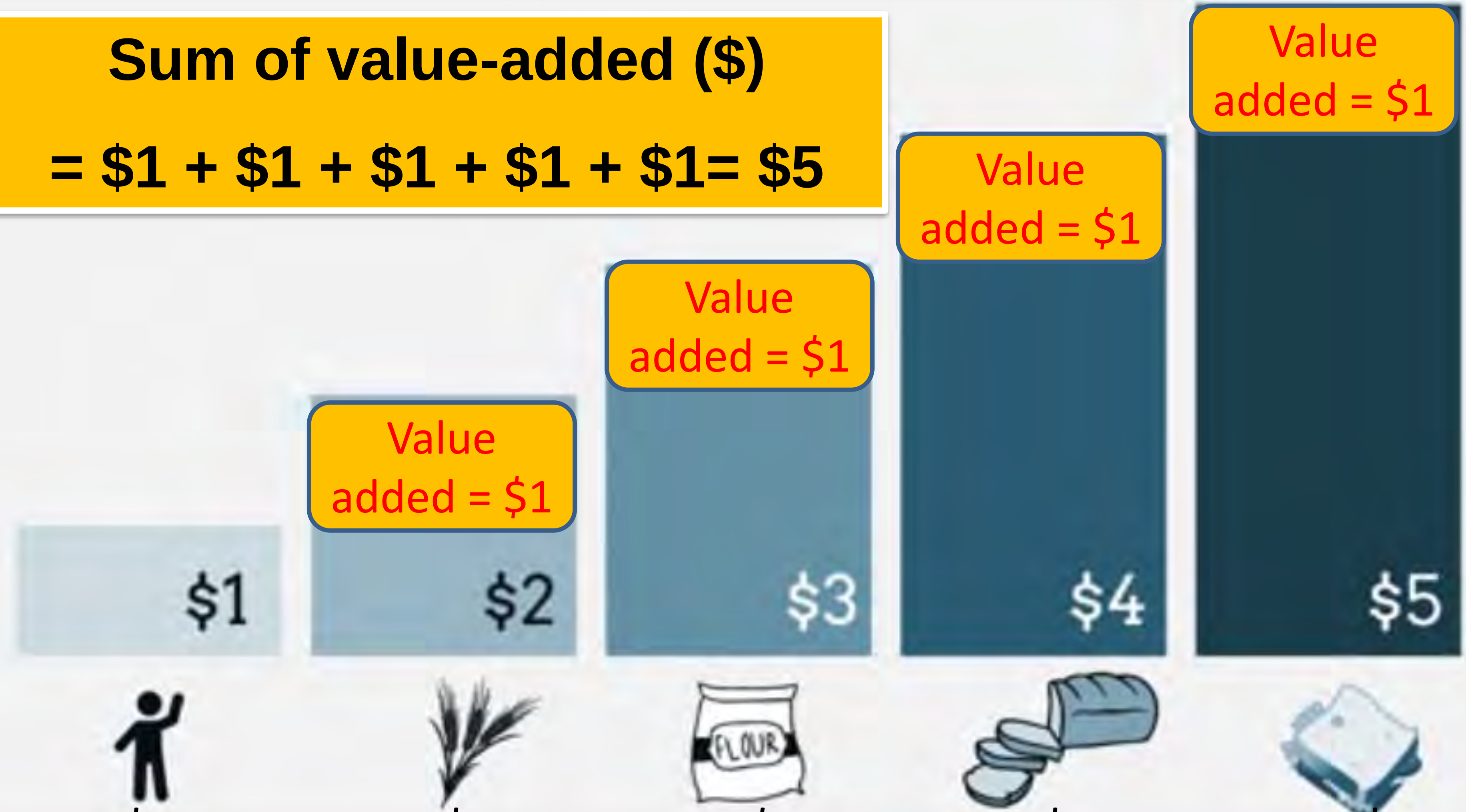


(1) National Income

(i) The Production or Output Approach

Sum of value-added ($)

= $1 + $1 + $1 + $1 + $1= $5



I. Definition of Terms

(1) National Income

(i) The Production or Output Approach

Adding up all the money values of all FINAL goods & services produced in the country.

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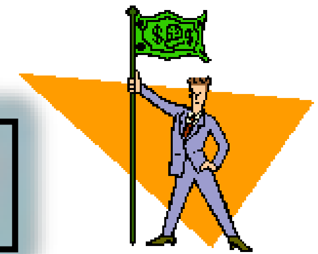
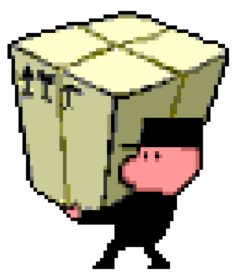
I. Definition of Terms

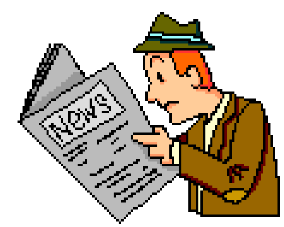
(1) National Income

(ii) The Income Approach



Adding up all the **EARNINGS** of owners of FOPs & resources over a period of time, usually a year





Returns to FOP	Rent	Wages	Interest	Profits
FOP	Land	Labour	Capital	Entrepreneur

(1) National Income

b) The Income Approach

Sum of all the earnings of owners of FOPs & resources over a period of time, usually a year

National Income = W + R + I + P

(1) National Income

c) The Expenditure Approach

Sum of the spending by households, firms, government & foreign sector on all final gds & services produced in the country over a period of time, usually a year

National Expenditure = C + I + G + (X-M)

(1) National Income

All 3 methods of arriving at the National Income Statistics of a country <u>must yield the same result</u>.

National Income

=

National Output

=

National Expenditure

The 3 terms can be used interchangeably

INTRODUCTION TO MACROECONOMICS

AGGREGATE EXPENDITURE

AGGREGATE EXPENDITURE (AE)

Definition: ***Aggregate Expenditure is the total planned spending on final goods and services.***

The elements of aggregate expenditure can be expressed in the equation

$$AE=C + I + G + (X-M)$$

AGGREGATE EXPENDITURE (AE)

The aggregate expenditure is the total expenditure in the economy.

i.e. the expenditure (spending) of all the 'players' in the economy.

- Households
- Firms
- Government
- Foreign sector

COMPONENTS OF AE

- **Consumption Expenditure**
- **Investment Expenditure**
- **Government Expenditure**
- **Net Expenditure on Exports**

C

+

I

+

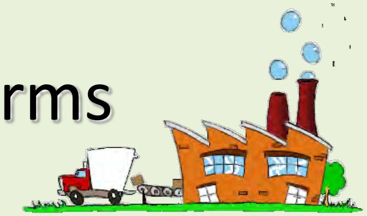
G

+

(X-M)

- Households

- Firms



- Government

- Foreign

COMPONENTS OF AE

Element		Description
Consumption	**C**	a. expenditure on non-durable goods - food, clothing. b. expenditure on services - doctors, plumbers, mechanics. c. expenditure on consumer durables - white goods, furniture, motor vehicles.
Investment	**I**	Business expenditure on new capital equipment which will produce final gods and services in the future - machines, factories, aircraft, tools etc. Also includes expenditure on new building and housing.
Government	**G**	G1. current expenditure which provides for day-to-day functions of government. G2. capital expenditure to provide for future needs such as schools, roads, power, communications, dams etc.
Net Exports	**X - M**	The value of goods and services sold to overseas, minus the value of goods and services bought from overseas.

DETERMINANTS OF AGGREGATE EXPENDITURE

CONSUMPTION EXPENDITURE “C”

‘C’ is the purchase of domestically produced goods and services for the satisfaction of consumer wants.

DETERMINANTS OF AGGREGATE EXPENDITURE

FACTORS AFFECTING "C"

a) Accessibility of credit
b) Level of interest rates
c) Government Policy
d) Price Expectations
e) Savings

INVESTMENT EXPENDITURE ‘I’

Investments are expenditure on capital goods such as equipment, plants as well as additions to stocks of raw materials and intermediate goods.

DETERMINANTS OF AGGREGATE EXPENDITURE

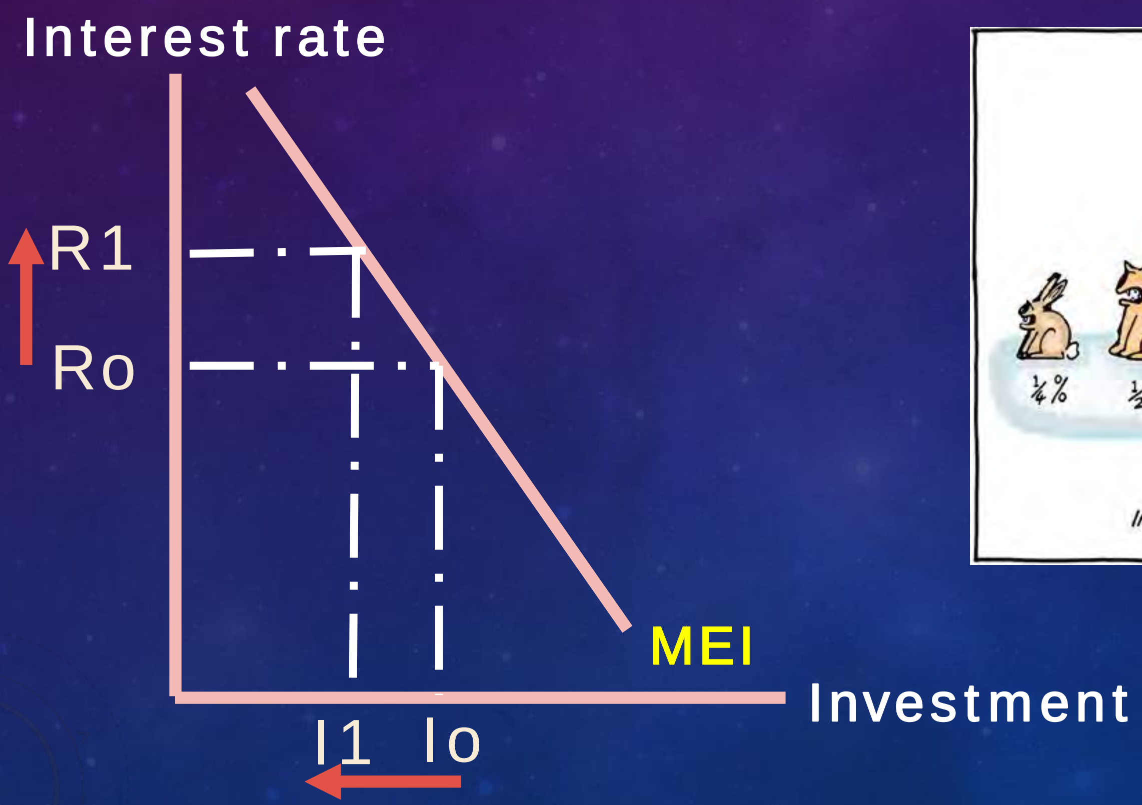
FACTORS AFFECTING " I "

- Most factors that affect investment are profit –related--- any change in Revenue and/or Cost

- Interest rates

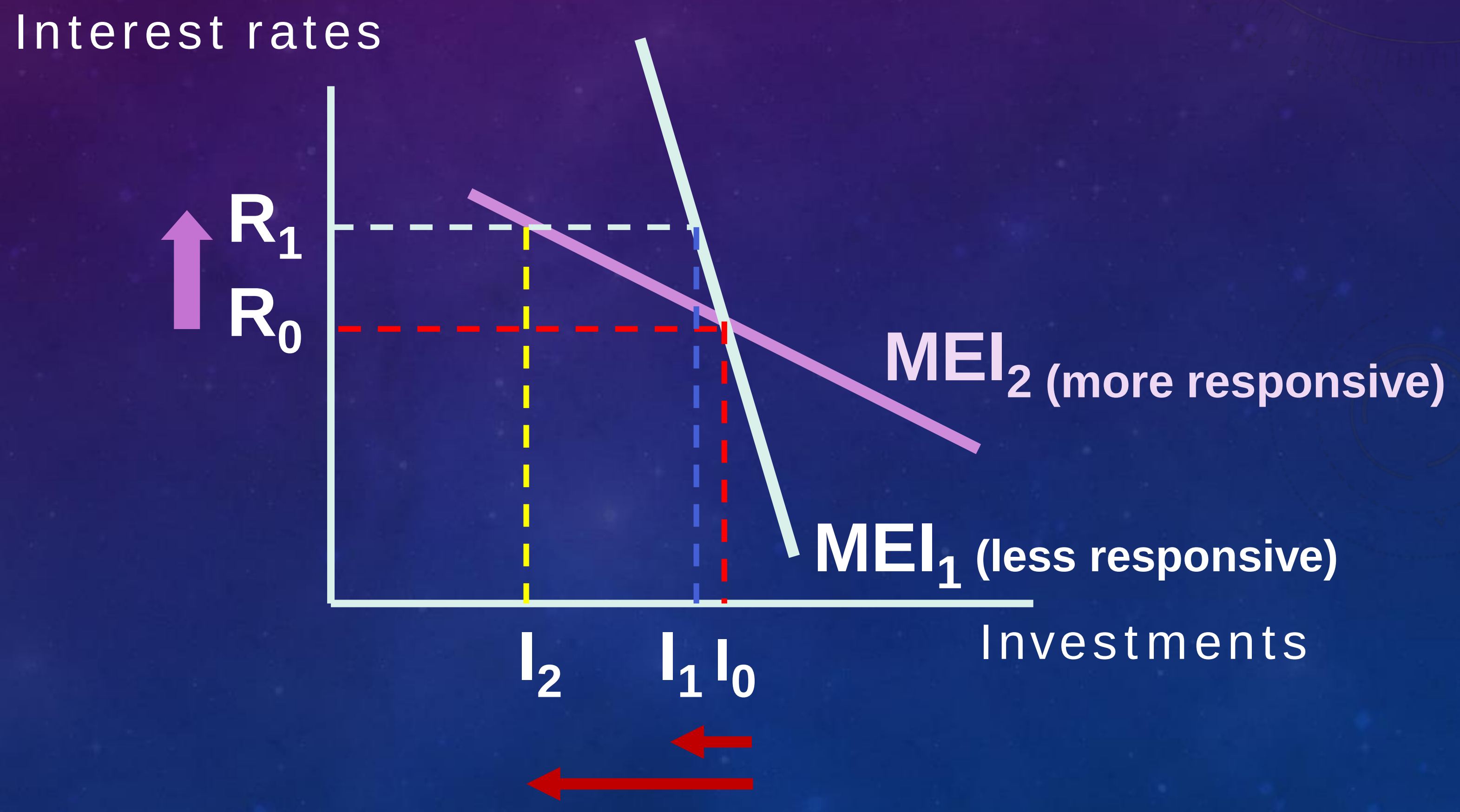
MEI-MEASURE OF THE PROFITABILITY OF AN INVESTMENT

Shows the inverse relationship btw the interest rate and investment .



MARGINAL EFFICIENCY OF INVESTMENT (MEI)

- Interest elasticity of (I)



DETERMINANTS OF AGGREGATE EXPENDITURE

FACTORS AFFECTING “ I ”

a) Interest rates
b) Business Expectations
c) Government Policy
d) Technological Change
e) Infrastructure

DETERMINANTS OF AGGREGATE EXPENDITURE

GOVERNMENT EXPENDITURE "G"

is the amount of spending by the government and is independent of changes in National income in SR

NOTE: G as a component of AD does not include expenditure on *transfer payments*.

DETERMINANTS OF AGGREGATE EXPENDITURE

GOVERNMENT EXPENDITURE "G"

G1 : Current expenditure which provides for day to day functions of government

G2: Current expenditure to provide for future needs eg schools, roads, power, communications, dams, etc.

DETERMINANTS OF AGGREGATE EXPENDITURE

NET EXPORTS (X – M)

"X" IS EXPORT REVENUE
"M" IS IMPORT EXPENDITURE

- ***Export revenue (X)*** refers to revenue received from the sale of goods and services to foreign countries.

- ***Import expenditure (M)*** refers to expenditure incurred due to purchases of goods and services from foreign countries.

DETERMINANTS OF AGGREGATE EXPENDITURE

NET EXPORTS (X – M)

- ***Export revenue (X)*** - An increase in export revenue will cause an increase in output and income. ***X is influenced by the national income of the foreign country and is independent of the national income of the local economy.***

- ***Import expenditure (M)*** The national income of the home country is reduced when M increases as there are more financial ***leakages from the circular flow of income.***

AE = C + I + G + (X-M)

Accessibility of Credit

Level of Interest Rates

Gov't Policy

Price Expectations

Savings

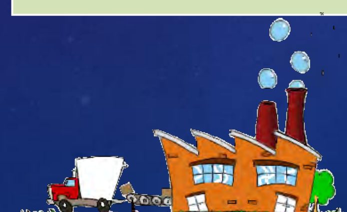
Interest Rates

Business Expectations

Govt Policy

Technological Change

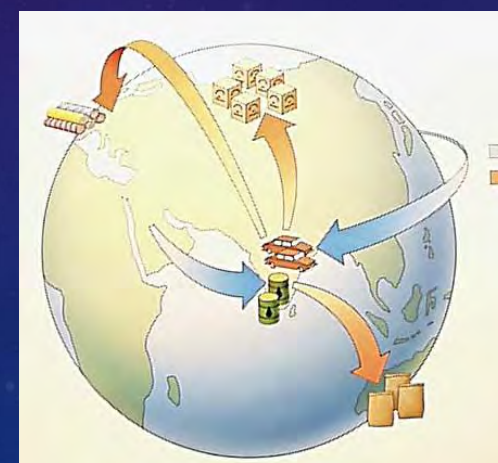
Infrastructure



INDEPENDENT

Foreign demand for domestic goods

Domestic demand for foreign goods



DETERMINANTS OF AGGREGATE EXPENDITURE

Factors influencing aggregate consumption expenditure **C**	• disposable income (Yd) • interest rates (r) • expectations • household confidence • stock of wealth (property, shares) • government policy
Factors influencing aggregate investment expenditure **I**	• business expectations • interest rates (r) • level of past profits (π) • government policies (e.g. taxation)
Factors influencing government expenditure **G**	• determined in accordance with • government policy objectives e.g. social welfare, health, education, full employment, economic growth, income redistribution
Factors influencing net exports **X - M**	• domestic busines cycle • overseas business cycle • exchange rates • commodity prices • terms of trade